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TECH

Tesla Sets Aggressive Production Plan for Model 3

Company also reports 88% revenue increase for the fourth quarter

By Tim Higgins

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A Tesla Model X sits in Monaco Ville, Monaco, earlier this month. Tesla reported financial results for the fourth quarter on Wednesday. CHEN YICHEN/ZUMA PRESS

Tesla Inc. laid out an aggressive production plan to bring out the new Model 3 sedan by year's end, raising the likelihood the auto maker will need to raise more cash to support the rollout.

The Silicon Valley auto maker said Wednesday it is on track to begin production in July on the car, and announced plans to ramp up to 5,000 vehicles a week in the fourth quarter.

Tesla chief Elon Musk faces intense scrutiny over whether he can debut the Model 3

on time after years of delays. The \$35,000 sedan is part of Mr. Musk's bet to transform Tesla from a luxury car maker into a sustainable energy company that sells electric vehicles to the masses, offers solar power to generate energy, and produces large batteries to store that power at home and offices.

Mr. Musk's bold projections have ignited investors' excitement, pushing the company's market value to within reach of Ford Motor Co., which is 100 years older.

Tesla's share price has risen about 50% since the company acquired solar panel maker SolarCity Corp., where Mr. Musk was also a major shareholder. The inflated market value could help the auto maker raise as much as \$2.5 billion, said Barclays analyst Brian Johnson.

Tesla's projections Wednesday came as it reported its fourth-quarter loss narrowed to \$121.3 million, a return to red ink after posting its first quarterly profit three months ago. Revenue jumped 88% to \$2.28 billion, ahead of analysts' expectations.

Mr. Musk told analysts on a conference call Wednesday that while his plan to bring out the Model 3 doesn't require additional money, the company's cash pile will drop "close to the edge."

"We are considering a number of options, but I think it probably makes sense to raise capital to reduce risk," Mr. Musk said.

Tesla revealed that it spent only about half the \$1 billion it projected to spend in the fourth quarter to prepare for production of the Model 3. The company said it shifted some payments with its capital equipment suppliers closer to Model 3 production to secure more favorable terms.

The approach helped Tesla reserve its cash pile, which has concerned investors as Tesla was buying SolarCity just as it would need to spend big to produce the Model 3.

Tesla finished the quarter with \$3.39 billion in cash, up from \$3 billion three months

earlier. Tesla plans to spend between \$2 billion and \$2.5 billion this year ahead of Model 3 production.

The company said it plans to finalize the location for two or three locations for its massive battery factories, called “gigafactories,” later this year. Tesla is finishing its first gigafactory in Nevada, which will have the capacity to make batteries for a million vehicles a year, Mr. Musk has said.

On the call, Mr. Musk reiterated Tesla can build a half-million vehicles next year, and one million in 2020.

Tesla struck a cautionary tone with its 2017 guidance, given the uncertainty of bringing out a new product, limiting its forecast for vehicle sales to the first half. The company expects to sell between 47,000 to 50,000 Model S and Model X vehicles in the period, roughly the same amount as in the previous six months.

A new challenge emerging for Mr. Musk at the assembly plant is the possibility of labor unrest. A worker this month began making the case publicly about why the United Auto Workers union would be beneficial to hourly laborers. Mr. Musk said Wednesday that the UAW is making a “strong effort” to unionize the factory in Fremont, Calif.

Tesla also said its financial chief, Jason Wheeler, is stepping down in April to pursue public policy. Deepak Ahuja, who retired as Tesla’s CFO in 2015, will replace Mr. Wheeler.

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Tim Higgins is a business columnist for The Wall Street Journal, frequent contributor to CNBC, and author of books about Apple (“iWar”) and Tesla (“Power Play”). He also co-hosts “Bold Names,” the Journal’s weekly interview podcast with top business leaders. His weekly column focuses on influential companies and their leaders, such as...

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